

Balance of payments

The balance of payments is the record of all the economic transactions between residents of one country and the rest of the world during a given period of time. It records the money value of the flows of goods and services, sale of assets of all kinds and payments made or received from the rest of the world. Receipts of money are regarded as credits and are entered in the accounts with a positive sign. Outflows of money from the country are regarded as debits and are entered with a negative sign.

Balance of payments is divided into two broad parts. One part deals with the payments of goods and services, incomes and transfers. This is known as current account. The other part records the transactions in assets known as the capital and financial account.

The current account: It records payments for exports and imports of goods and services, income and transfers.

The first of these is the trade-able goods and services account. The trade-able goods account is called the visible account which records exports and imports of goods. The balance of exports and imports of goods is called visible balance on the balance of trade in goods.

On the other hand the trade-able services account is called invisible account which records exports and imports of services such as shipping, airline, tourism etc. the balance of invisible exports and imports is called the invisible balance or the balance for trade in services.

The overall balance in trade is the sum of the balance of trade in goods and balance of trade in services. If the sum is positive then the BOT is in surplus but if it is negative then the BOT is in deficit. A surplus BOT means that the receipts of goods and services exceed the payments for imports of goods and services.

The second element of the current account is the incomes account (primary income) which records inflows and outflows of incomes as a result of investments made between the countries. These incomes are in the form of interest, profits and dividend.

The third account is the transfers' account (secondary income) which records transfers of money by the private sector as well as by the government. These transfers could be in the form of gifts, grants and aid.

The sum of the balances of all the three accounts is called the current account balance. If the sum is positive then the current account is said to be in surplus but if it is negative

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then the current account is said to be in deficit. It is the current account balance which shows the balance of payments deficits or surpluses.

Capital and financial account: The capital account records the flows of funds into and out of the country associated with acquisition and disposal of fixed assets, the transfer of funds by the immigrants.

Financial account is made of four elements i.e. direct investments, portfolio investments, other investments and reserves. Direct investment includes changes in the ownership of firms between the countries. Portfolio investments are the changes in the holdings of paper assets such as company share and government bonds. Other financial flows consist of different types of short-term monetary flows between countries for e.g. deposits by the overseas residents in domestic banks and loans from abroad.

Countries maintain foreign currency reserves at the central bank. Drawing from reserves represent a credit item and the additions into the reserve are the debit items. These reserves are used to balance the current account deficit or surplus.

When all the components of BOP account are taken their overall balance must be zero. When the statistics are compiled however a number of errors are likely to occur. As a result there will not be a balance in account. To correct this, a net errors and omissions item is included in the account.

Balance of payment policies: These are the policies designed to eliminate the BOP deficit.

EXPENDITURE SWITCHING POLICY: It targets to switch the expenditure of domestic residents from imported goods to domestically manufactured goods, the effectiveness of this policy depends upon price elasticity of demand

1. **Import control:** These include protectionist policies like tariffs and quotas. These measures lead to an increase in the prices of imported goods as they enter the domestic economy. Consumers will find the domestically produced goods more competitive causing the demand for imports to fall.
2. **Devaluation:** When a country devalues its currency against foreign currency its exports become more competitive in foreign market in terms of foreign currency and imports become more expensive in terms of domestic currency. This will lead to an increase in the demand for exports and a decrease in demand for imports thereby having a favorable effect on the BOP.

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3. Government can even provide subsidies to domestic producers which will reduce the cost of production of the domestic producers and making our goods cheaper than imported goods.

Expenditure switching policy if effective will switch the demand to domestic from imported goods, achieving the objective of balance of payment stability along with which there will be a rise in aggregate demand which will create multiplier times rise in income, output and employment, and therefore the government will achieve another objective of full employment but in the longrun it will conflict with price stability as the economy will be operating at its potential and there will be shortage of resources.

EXPENDITURE REDUCING/DAMPENING POLICY: It targets to reduce the overall expenditure of the individuals by cutting their ability to spend or encouraging them to save. The effectiveness of this policy depends upon the proportion of income spent on imported goods

Government may also adopt fiscal and monetary policies to reduce the deficit in the BOP.

1. Fiscal policy is that policy of the government in which it uses taxes and government expenditures as tools of the policy to achieve certain objectives. The government reduces the demand for goods and services by imposing taxes on incomes of people which will reduce their after tax income causing the demand for imported goods to fall. Since their disposable income is reduced they will be reduce their imported expenditure which will correct the problem of balance of payment deficit but along with that there will be reduction in domestic consumption, this will reduce aggregate demand. Importantly two macroeconomic objectives were achieved that is balance of payment stability and price stability.
Along with this the government will itself reduce its expenditure which will result in downward multiplier causing a fall in income and thus cutting the ability to spend which again achieves two objectives.
2. Monetary policy is the policy in which the central bank changes the money supply and the rate of interest to achieve certain objectives for e.g. an increase in the interest rate will encourage savings and discourage borrowings causing demand for imported and domestic goods to fall resulting in achieving two macroeconomic objectives.

Domestic producers will find surpluses of unsold output which may be exported. On the other hand a fall in demand will reduce imports thereby having favorable effect on BOP

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Note that the government using its policies was able to achieve two objectives but it is likely to conflict with other objective that is full employment, since aggregate demand is falling this will cut the production process and in the longrun there will be existence of unemployment.